

implementation of Financial Action Task Force (FATF) anti-money laundering and counter-terrorist financing (AML/CFT) standards, emphasizing their role in achieving the outlined goals.

G20 has initiated the conversation. But given the dynamic nature of the VDA ecosystem and the continuous evolution of new products and services, how do you suggest the challenge is addressed on a continuous basis?

Addressing the dynamism and innovation within the VDA ecosystem requires a proactive approach. I believe that developing agile and flexible policies that are principle based, will be fundamental to regulating this ecosystem. I believe that a self-regulatory approach may also be adopted, where the industry is encouraged to set and enforce standards. This will, on the one hand, ensure that authorities maintain oversight over the ecosystem and mitigate any risks it may pose, while also encouraging self-compliance, and innovation. The development of regulatory sandboxes is also a proven way to enable an ecosystem to develop and reach maturity, in a supervised and controlled manner. I believe extensive stakeholder consultation is a critical pillar to regulate this ecosystem, given the technical complexities associated with it.

What do you feel are the key challenges faced by the industry under the current policies? What specific recommendations from the IMF-FSB Synthesis Paper addressing that?

One of the most prominent hurdles we've faced is the imposition of a 30% tax and 1% TDS in India. This tax has had a ripple effect, causing a reduction in trading volumes in all domestic exchanges. Additionally, we've noticed a growing trend among users who are turning to international peer-to-peer (P2P) trading platforms, inadvertently exposing themselves to potential risks.

Beyond the realm of policy, there's another challenge we've been dealing with—the pervasive negative narrative surrounding crypto and Web3 technologies. Unfortunately, this negative sentiment has created a misperception about the substantial benefits that these technologies can bring.

We've consistently advocated for the establishment of a regulatory framework in close collaboration with industry stakeholders. Our stance strongly aligns with the recommendations laid out in the IMF-FSB Synthesis Paper.

While tax policies do vary from one country to another, we firmly believe that a global regulatory framework could provide governments with the confidence they need to potentially reconsider their tax policies. In the current landscape, the 1% Tax Deducted at Source (TDS) has triggered a significant surge in transactions through P2P channels and offshore platforms, a trend that raises concerns.

Specifically for India, a critical consideration is the risk associated with peer-to-peer (P2P) transactions. The IMF-FSB Synthesis Paper recognizes that applying the traditional approach to AML/CFT (Anti-Money Laundering/Counter-Terrorist Financing) regulation, which typically involves intermediaries, is not straightforward in the case of P2P transactions due to the absence of intermediaries.

In this context, we urge the Ministry of Finance to reduce the TDS, provide clarity on the applicability of TDS and to institute a Self-Regulatory mechanism. Such a mechanism, we believe, would foster better collaboration between the government and the industry, creating a consistent risk-based framework while supporting the innovative spirit of the industry.

You were referring to Self-Regulatory mechanism, can you please elaborate in context of VDA?

Self Regulation generally finds mention during the development phase of any industry. This is important because during the early days, it is difficult to frame laws and rules as the government authorities are also trying to understand the technology and the reach of the industry. Certainly, SROs are not new and have been prevalent in various sectors, especially in tech-heavy industries.

Certainly, in the context of VDAs, the Self Regulatory Organization (SRO) will play a crucial role in establishing and enforcing best practices and operational standards. It will allow the various players, with the most comprehensive understanding of their sector, to come together and operate under a single umbrella along with oversight from the government authorities. Such an SRO will promote transparency, equitable practices, and ethical conduct, fostering a fair and responsible VDA ecosystem building more trust with the consumers, as well. Globally, Japan Virtual Currency Exchange Business Association (JVCEA), is a self-regulatory organization for the crypto asset exchange business and crypto asset related derivatives trading business.

From the investors point of view, how assuring is the new development? What message would you like to give them?

I think the recent developments will make the investors feel a growing sense of reassurance about the direction we're heading in. The engagement of regulatory authorities with industry stakeholders and international bodies like the IMF and FSB signifies a constructive approach to understanding the nuances of this rapidly evolving sector.

I want to reinforce the potential of blockchain technology and Web3. These innovations are the future, and they hold the power to reshape industries and economies. It's crucial to trust in the transformative capabilities of this technology. While some challenges and uncertainties remain, they are natural when pioneering a new frontier.

What role do you see India playing in the global Web3 ecosystem, and how can large-scale crypto adoption contribute to India's position as a Web3 powerhouse?

When it comes to the global Web3 scene, India has a significant role to play. India has already demonstrated its interest by ranking at the top in the global list across categories such as use — by estimated transaction volume — of centralised and decentralised exchanges, as well as lending protocols and token smart contracts.

India also become the second-largest crypto market in the world by raw estimated transaction volume, beating out several wealthier nations, according to the latest Chainalysis report. This showcases our growing enthusiasm for this space.

Embracing and nurturing emerging technologies like Web3 technology in India could potentially add a whopping \$1.1 trillion to our GDP by 2032, as per various reports. To put it in perspective, that's like the kind of impact our IT industry had in generating jobs and contributing to the economy.

As a web3 leader in India, how happy are you from the outcomes of G20 conversations on crypto/web3?

I must say that the outcomes of the G20 conversations on crypto and Web3 have been quite encouraging. We've been advocating for the need to establish a policy framework in consultation with the industry, and it's heartening to see these discussions moving in that direction.

We have been committed to driving awareness about VDA and the larger Web3 ecosystem. We, along with the Bharat Web3 Association - of which we are a founding member - have been engaging with both Indian authorities and international standard setting bodies. We are proud to report that many of our recommendations made to the FSB and the IMF have been taken into account in the final outcome of the G20 summit.

We've always been diligent in adhering to the relevant provisions of the laws that apply to us, as introduced by the Government of India from time to time. However, there are still vital aspects that need attention, such as tax treatment and the regulatory challenges associated with P2P transactions. Clarity in these areas would contribute significantly to the growth and stability of the Web3 ecosystem in India.

Finally, I would like to take this opportunity to also congratulate our Hon'ble Prime Minister for taking the lead and ensuring a consensus on so many important issues, including crypto-assets. We are confident that this positive momentum will carry on in the next G20 presidency, and we would continue our collaboration with Government of India at all levels.